

THE EQUITY EXPRESSION OF THE SOFTWARE UNIT ECONOMICS THESIS

The Cost of Every Answer

Two software companies reported this week. Both beat consensus on revenue. Both shares fell more than a fifth. HubSpot closed down 20.2 per cent on 5 August 2026. Datadog, on 6 August, grew revenue 35.6 per cent, raised its full-year outlook, and closed down 17.3 per cent. Nobody disputed the figures.

That is the interesting part. A market that punishes a miss is disagreeing about demand. A market that punishes a beat is disagreeing about something the beat does not measure — not whether enterprises will keep buying software, but what a unit of software costs the company selling it, and whether the seat is still the right unit at all.

A reframe worth holding onto

The instinct is to ask whether artificial intelligence will take software's revenue away. That framing has produced two years of arguments that neither side can settle, because revenue is exactly what is *not* deteriorating.

The more useful question is narrower and answerable: what does it cost a software company to deliver one unit of its own product, and is that cost fixed or variable? A seat costs almost nothing to duplicate. An answer costs something every time it is given. Software is migrating from the first economics to the second, and the market is marking the transition before the accounts show it.

Method. Every external figure in this edition is dated and attributed to the source it came from, with company press releases preferred over aggregators where both were available. Share price moves are as reported on the stated date and are not live quotes. This edition carries **no internal Wiki material**: the Heyokha Wiki research server did not respond in this automated run, and no internal view, provider issue or thesis page could be retrieved. Nothing here should be read as representing a house view. The full account of what failed and what that costs the reader is set out in "Sources and update notes".

Consider a hotel that has spent twenty years selling rooms. The building is already paid for. Letting a room a second time costs a set of clean sheets and twenty minutes of a housekeeper's morning; almost the entire nightly rate falls through to profit. Then guests start asking for dinner, so the hotel opens a restaurant. Bookings keep climbing and total revenue rises faster than before. But every plate that leaves the kitchen now consumes a chef's hour and a fillet of fish, and those costs arrive whether or not the guest enjoys the meal. The hotel is not shrinking. It has become a different business, with a cost line where there used to be a rounding error — and until a few years of accounts exist, nobody can say what the restaurant's margin settles at. That is the position enterprise software finds itself in. The rooms are the seats. The meals are the answers.

THE STORY IN 60 SECONDS

–17.3%

Datadog's one-day fall, to \$234.23, on a quarter that beat consensus revenue by 3.9 per cent and raised full-year guidance. The shares had set an all-time high above \$292 days earlier. *StockStory and TradingKey, 6 August 2026.*

–20.2%

HubSpot's fall, to \$200.00, after revenue of \$911.7m beat estimates by 1.5 per cent. It added 7,000 customers against an expected 9,000 to 10,000 and trimmed full-year guidance. *StockStory and Q2 earnings call, 5 August 2026.*

\$1.2bn

Salesforce Agentforce annual recurring revenue at first-quarter fiscal 2027, up 205 per cent year on year. Monetisation is measurably real; the shares still fell about a third across 2026. *Salesforce press release, 27 May 2026.*

WHAT ACTUALLY HAPPENED

Two beats, two poundings, one week

HubSpot sells customer-relationship software to small and mid-sized businesses, historically priced per seat. In the second calendar quarter of 2026 it reported revenue of \$911.7m, up 19.8 per cent year on year and 1.5 per cent ahead of consensus, with non-GAAP earnings of \$3.26 a share against an expected \$3.02 and an adjusted operating margin of 4.8 per cent, recovered from minus 3.2 per cent a year earlier. On any pre-2024 scorecard this was a good quarter. The shares fell 20.2 per cent, the largest single-session decline in the company's history as a listed business.

What broke was underneath the headline. HubSpot added roughly 7,000 net customers in the quarter against an internal expectation of 9,000 to 10,000, and cut its guidance for the rest of the year to 5,000 to 6,000 net additions per quarter. Full-year revenue guidance came down to a \$3.68bn midpoint from \$3.70bn, and third-quarter guidance of \$924.5m landed 1.8 per cent below consensus. Net revenue retention held at 102 per cent, one point lower than a year before. Chief financial officer Kate Bueker attributed the pressure to "downgrade pressure as customers sort of optimize their overall spend".

Datadog, which sells cloud monitoring priced largely by consumption, produced the opposite kind of quarter and met the same fate. Revenue of \$1.12bn was up 35.6 per cent and 3.9 per cent ahead of consensus; billings grew 38.1 per cent to \$1.18bn; enterprise customers spending more than \$100,000 a year rose by 170 in the quarter to 4,720; adjusted operating income of \$257m beat by 10.2 per cent; and full-year revenue guidance went up, not down. The shares fell 17.3 per cent. The proximate explanations offered were that the stock had nearly doubled during 2026 and set a record high days before, that third-quarter guidance of \$1.135bn to \$1.145bn implied only modest sequential growth, and that free cash flow margin had slipped to about 24.9 per cent from nearly 28.7 per cent the prior quarter.

Neither reaction was an isolated event. As of 6 July 2026, the iShares Expanded Tech-Software ETF was down 10.5 per cent for the year while the S&P 500 was up 10.8 per cent and the broader technology sector was up 26 per cent — a gap of 21.3 percentage points between software and the technology complex it belongs to. ServiceNow was down 27 per cent for the year on that date; Salesforce was down 35 per cent. Both had been growing subscription revenue in the low-to-mid twenties. This is not a market that has stopped believing software will sell. It is a market that has stopped paying the same multiple for the sale.

THE ESSENTIAL DISTINCTION

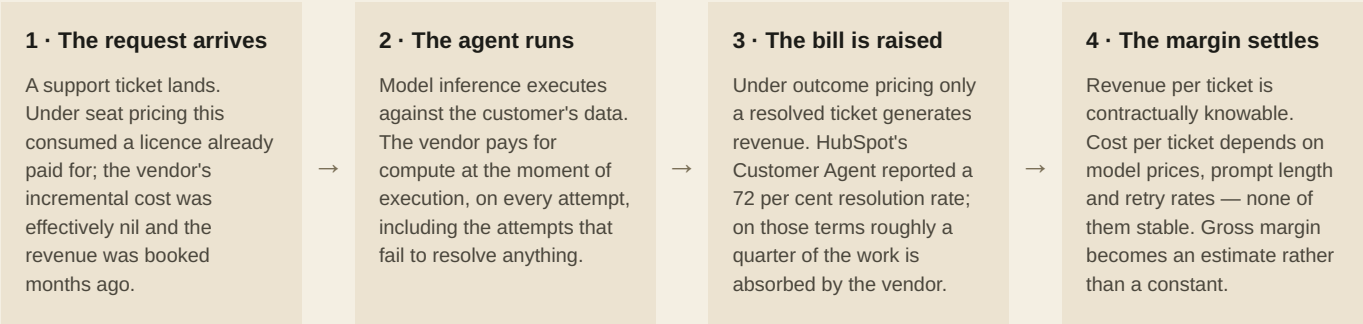
A demand problem and a cost-of-goods problem look identical in the share price and nothing alike in the business. Software's revenue line is not what is being questioned. What is being questioned is the gross margin sitting behind it — and the unit of account it is denominated in. *Selling fewer things is a growth problem. Earning less on each thing you sell is a structural one.*

THE MECHANISM

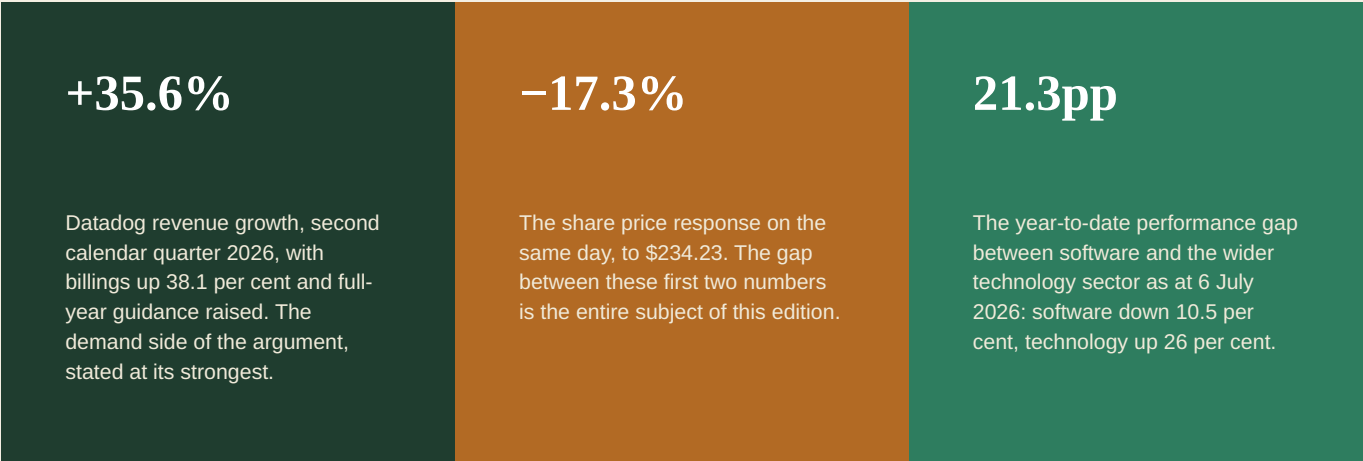
How one support ticket became a cost line

Follow a single unit through the economics and the transition becomes concrete. Under the old model a company bought a licence for each employee who touched the software, and the vendor's marginal cost was close to zero: the code was written, the servers provisioned, and one more user consumed a sliver of storage and support. This is why software carried gross margins near eighty per cent, and why a seat once sold was close to pure operating leverage. Revenue was disconnected from usage — the customer paid whether the employee logged in daily or never.

Under the emerging model the customer does not buy access; it buys resolutions. Salesforce prices parts of Agentforce on outcomes rather than conversations. HubSpot has cut agent prices, introduced trials and shifted toward outcome-based pricing, with chief executive Yamini Rangan describing the change directly: "Customers want proof of value before they buy. This is a different buying motion than SaaS." Each resolution runs model inference, and inference consumes graphics-processor time the vendor pays for whether or not the answer is good enough to bill.



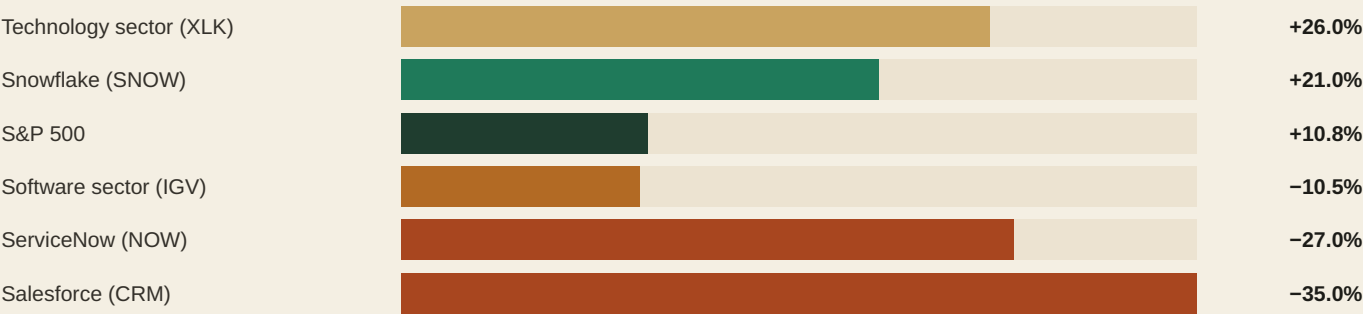
Flow constructed from company disclosure: HubSpot Q2 CY2026 earnings call, 5 August 2026 (agent adoption, 72 per cent Customer Agent resolution rate, shift to outcome-based pricing and agent trials); Salesforce Q1 FY27 press release, 27 May 2026 (Agentforce ARR and pricing model disclosure). The step-four characterisation of margin variability is this publication's inference from those disclosures, not a figure reported by either company.



Datadog figures: StockStory, 6 August 2026. Sector gap: iShares Expanded Tech-Software ETF versus Technology Select Sector SPDR, year-to-date as at 6 July 2026, reported by Yahoo Finance.

THE CENTRAL COMPARISON

Software has been left behind by the sector it belongs to



Year-to-date total share price moves as at 6 July 2026, reported by Yahoo Finance. Bar lengths are illustrative and scaled to absolute magnitude, so positive and negative bars of the same length represent moves of the same size in opposite directions; they are not drawn on a signed axis. Snowflake, priced on consumption rather than seats, is included as the counter-example. Individual stock returns are point-in-time and will have moved since the stated date.

A USEFUL MENTAL MODEL

A seat is a claim on a person's time, and it costs the vendor nothing to duplicate. An answer is a claim on a graphics-processor second, and it costs the vendor something every time it is given. *The software industry spent twenty years selling the first and is now learning to sell the second — with a cost base built for the first.*

THE SHIFT

What has actually shifted

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
The unit of sale is moving from the seat to the outcome	HubSpot has introduced agent trials, cut prices on individual agents and moved toward outcome-based pricing; Salesforce prices parts of Agentforce on resolutions rather than access (company disclosure, 5 August and 27 May 2026)	Outcome pricing removes the ceiling that headcount imposes on a seat licence, so a vendor can earn more from a shrinking customer. It also removes the floor: revenue now stops when usage stops
Beats no longer rerate the shares	Datadog beat revenue by 3.9 per cent, beat earnings by 11.4 per cent and raised full-year guidance, and fell 17.3 per cent on 6 August 2026	Either the market is applying a discount rate to earnings quality that the accounts do not yet justify, or it is seeing a margin path that management has not yet had to guide to
Customer counts are decoupling from revenue	HubSpot added 7,000 customers against 9,000 to 10,000 expected while revenue still grew 19.8 per cent; net revenue retention held at 102 per cent, down one point year on year	Growing revenue from a slower-growing customer base is the definition of pricing power. It is also how a business runs out of new customers before anyone notices
Cash conversion is drifting	Datadog's free cash flow margin fell to about 24.9 per cent from nearly 28.7 per cent in the prior quarter (6 August 2026)	One quarter is noise and can reflect timing of collections or capital spending. A sequence of such quarters would be the first hard evidence that delivering AI features costs real money
The buying process has lengthened	HubSpot management cited "larger buying committees and more deals require C-suite or board approval", extending cycles by weeks or months (Q2 call, 5 August 2026)	Consistent with a cyclical slowdown in corporate spending, and equally consistent with buyers pausing to see whether an agent makes the licence unnecessary. The data cannot yet distinguish the two
Seat licences are a derivative of white-collar employment	The US July employment report is due 7 August 2026, with consensus at about 120,000 payrolls against 57,000 in June and unemployment expected at 4.3 per cent from 4.2 per cent	Every seat licence is ultimately a claim on somebody being employed. A soft labour market is a second, entirely separate headwind for seat-priced software — and a lower rate path is a tailwind for its valuation

Bull and bear, stated fairly

The case that this is a repricing, not a decline

- **The monetisation is measurable and large.** Agentforce reached \$1.2bn of annual recurring revenue by 27 May 2026, up 205 per cent, with Data 360 taking the pair near \$3.4bn; ServiceNow crossed \$1bn of AI annual contract value by 22 July 2026.
- **The fundamentals are not deteriorating.** ServiceNow grew subscription revenue 24.5 per cent and current remaining performance obligations 21 per cent to \$13.20bn, held a 29.5 per cent non-GAAP operating margin and raised guidance on 22 July 2026 — with the shares already down 38 per cent for the year.
- **Backlogs are lengthening.** Salesforce reported total remaining performance obligations of \$72.4bn, up 14 per cent, at 25 February 2026, and raised its fiscal 2027 guidance midpoint three months later. Contracted future revenue is the hardest number in software and it is rising.
- **Agent adoption is running ahead of the sceptics.** HubSpot's Data Agent reached 16,000 customers, up 80 per cent sequentially, and its Prospecting Agent 17,000, up 28 per cent; more than 55 per cent of Pro Plus customers use agents or Breeze, and monthly agentic actions more than tripled year to date.
- **The consumption model already works.** Snowflake, priced on usage rather than seats, was up 21 per cent for the year at 6 July 2026 against a sector down 10.5 per cent — evidence the market is discriminating between pricing models, not fleeing software.
- **The starting multiple explains part of the fall.** Datadog had nearly doubled in 2026 and set an all-time high above \$292 days before reporting. A 17 per cent fall from a record is a different event from one from a trough.

The case that something structural is breaking

- **The market has punished a beat-and-raise.** Datadog delivered 35.6 per cent growth, 38.1 per cent billings growth and a guidance raise, and fell 17.3 per cent on 6 August 2026. When good news stops working, the disagreement is about the model, not the quarter.
- **Customer acquisition is missing plan widely.** HubSpot's 7,000 net additions against an expected 9,000 to 10,000 is a 22 to 30 per cent shortfall, and the forward run-rate was cut to 5,000 to 6,000 — the clearest evidence that the seat-based motion is slowing at the front end.
- **Retention is defended, not expanded.** Net revenue retention of 102 per cent means the installed base is barely growing; the chief financial officer named "downgrade pressure as customers sort of optimize their overall spend" on 5 August 2026.
- **Cash margin is moving the wrong way at the strongest operator.** Datadog's free cash flow margin fell about four percentage points sequentially in the quarter it beat on every line. If delivering AI has a cost, this is where it appears first.
- **The derating is broad and persistent.** Software trailed the technology sector by 21.3 percentage points year to date at 6 July 2026, with Salesforce down 35 per cent and ServiceNow down 27 per cent despite compounding subscription revenue above 13 and 24 per cent.
- **Outcome pricing moves risk from buyer to vendor.** HubSpot's disclosed 72 per cent Customer Agent resolution rate means that on pay-per-resolution terms roughly one attempt in four is performed at the vendor's expense — a cost that did not exist under seat licensing.

The bear case above is built almost entirely from external reporting and from tensions inside the companies' own disclosures, rather than from any research provider's argument. That was a necessary construction, not a stylistic choice: the internal Wiki was unavailable in this run, so there was no house bear case to draw on. Readers should weigh it accordingly — it has no privileged information behind it, only published numbers read against each other.

WHERE THE EVIDENCE PULLS APART

An unresolved conflict

The clearest contradiction in this edition is not between an internal view and an external one — the internal leg failed — but between two external readings that cannot both be right, and neither of which today's data settles. The first, visible in the fundamentals, is that AI monetisation is working: Salesforce's Agentforce annual recurring revenue tripled to \$1.2bn by 27 May 2026, ServiceNow's AI annual contract value passed \$1bn by 22 July 2026, and both raised guidance. On these numbers the derating is a sentiment event and the "SaaS apocalypse" framing of early 2026 is overdone.

The second, visible in the tape, is that a market willing to sell Datadog 17.3 per cent lower on a beat-and-raise is not expressing sentiment but a view about terminal margins that current income statements are not designed to reveal. Under seat pricing, cost of goods sold barely moved with volume, so gross margin was a near-constant and investors could value revenue directly. Under outcome pricing it is not, and the accounts will not show which regime a company is in for

several quarters. Both readings are internally consistent, and this edition does not resolve them. The disagreement is one of accounting lag rather than of fact, which means it will be settled by disclosure, on a schedule, rather than by argument.

THE DASHBOARD

What to watch from here

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
Gross margin, not operating margin, in software results	Whether the cost of delivering AI features is showing up above the operating line	This is the single number that distinguishes a sentiment derating from a structural one. Operating margin can be defended with cost cuts; gross margin cannot
Datadog free cash flow margin next quarter	Whether the fall to about 24.9 per cent from 28.7 per cent was timing or trend	Datadog is the best-performing large name on growth. If cash conversion erodes there, the read-across to weaker franchises is severe
HubSpot quarterly net customer additions against 5,000 to 6,000	Whether the reduced guidance was conservatism or the new run-rate	Customer count is the cleanest available proxy for whether small businesses are still buying seats at all
Net revenue retention across seat-priced vendors	Whether installed bases are expanding, flat or contracting once agents are deployed	A move below 100 per cent at a major vendor would be the first unambiguous evidence of cannibalisation rather than substitution
Disclosure of outcome-priced revenue as a separate line	Whether companies begin reporting consumption and outcome revenue apart from subscriptions	Until this is broken out, investors are valuing a blend of two businesses with very different margin structures as though it were one
US payrolls, from 7 August 2026 onward	Consensus of about 120,000 for July against 57,000 in June; unemployment expected at 4.3 per cent	Seat licences are a claim on white-collar headcount. Weak employment pressures software demand directly, while also lowering the discount rate applied to it — the two effects work against each other

EXPRESSIONS

Three postures, not one answer

Own the derating Treat the fall in seat-priced names as a multiple event against intact fundamentals: ServiceNow grew subscription revenue 24.5 per cent and raised guidance on 22 July 2026 while down 38 per cent for the year. The explicit cost: if outcome pricing genuinely compresses gross margin, the fundamentals bought today are the peak ones, and a cheap multiple on a structurally lower margin is not cheap at all.	Own the pricing model, not the sector Favour vendors already priced on consumption over those converting from seats. Snowflake was up 21 per cent at 6 July 2026 against a software sector down 10.5 per cent. The explicit cost: consumption names carry the same compute costs and lose the revenue visibility that made subscription software valuable — Datadog is consumption-priced and still fell 17.3 per cent.	Wait for the gross margin line Decline to underwrite either reading until two or three quarters of disclosure separate AI delivery cost from the rest. The explicit cost: the information arrives on a schedule everyone can see, so most of the repricing will already have happened by the time the accounts settle the argument. This posture buys certainty and pays for it in return.
The companies named in this edition are illustrative of the mechanics being described. They are NOT recommendations to buy, sell or hold any security, and no assessment of their suitability for any portfolio has been made.		

Six companies, six different exposures

DDOG

Datadog · cloud observability

 -17.3% to \$234.23
6 August 2026

The purest statement of the problem. Revenue grew 35.6 per cent to \$1.12bn, billings 38.1 per cent, enterprise accounts above \$100,000 rose by 170 in the quarter to 4,720, and full-year guidance went up to a \$4.46bn midpoint. The shares fell anyway, from an all-time high set days before. Free cash flow margin slipped to about 24.9 per cent from 28.7 per cent.

WATCH NEXT

Whether the free cash flow margin recovers next quarter, or whether four percentage points turns out to be the price of AI delivery.

HUBS

HubSpot · SMB customer platform

 -20.2% to \$200.00
5 August 2026

The clearest evidence of front-end strain. Revenue of \$911.7m grew 19.8 per cent and beat, but net customer additions of 7,000 missed an internal expectation of 9,000 to 10,000, and forward guidance was cut to 5,000 to 6,000 per quarter. Net revenue retention held at 102 per cent, one point lower year on year, with management citing downgrade pressure as customers optimise spend.

WATCH NEXT

Whether net additions stabilise at the reduced 5,000 to 6,000 guidance, and whether retention holds above 100 per cent.

CRM

Salesforce · enterprise CRM

 Agentforce ARR \$1.2bn, +205%
27 May 2026

The largest seat-based franchise attempting the conversion. First-quarter fiscal 2027 revenue of \$11.1bn grew 13 per cent, non-GAAP operating margin reached 34.8 per cent, current remaining performance obligations rose 14 per cent to \$33.6bn and full-year guidance was raised to \$45.9bn–\$46.2bn. Agentforce and Data 360 together approached \$3.4bn of ARR. The shares were down about 35 per cent for the year at 6 July 2026.

WATCH NEXT

Whether outcome-priced Agentforce revenue is disclosed separately, and at what gross margin.

NOW

ServiceNow · enterprise workflow

 Subscription +24.5%
22 July 2026

The sharpest gap between operations and share price in the sector. Second-quarter subscription revenue of \$3,877m grew 24.5 per cent, current remaining performance obligations rose 21 per cent to \$13.20bn, non-GAAP operating margin was 29.5 per cent, ServiceNow AI crossed \$1bn of annual contract value, and full-year subscription guidance was raised. The shares had fallen 38 per cent year to date going into the print.

WATCH NEXT

Whether the \$1bn AI annual contract value converts into reported revenue without diluting the group gross margin.

SNOW

Snowflake · data cloud

 +21.0% year to date
6 July 2026

The counter-example that complicates the simple story. Priced on consumption rather than seats, Snowflake rose 21 per cent over a period in which the software sector fell 10.5 per cent and the two largest seat-based franchises fell 27 and 35 per cent. Indiscriminate risk aversion would not produce that spread: the market is pricing business models, not fleeing an industry.

WATCH NEXT

Whether consumption names hold their premium once their own AI delivery costs reach gross margin.

ADBE

Adobe · creative and document software

 -28% year to date, \$241
27 March 2026

The case where substitution risk is argued most directly. First-quarter fiscal 2026 revenue of \$6.4bn grew 12 per cent and total annual recurring revenue exited at \$26.1bn, with AI-first offerings' ending ARR more than tripling year on year. The shares were still down 28 per cent for the year at 27 March 2026, on the argument that generative tools reduce the number of licensed creative professionals required.

WATCH NEXT

Whether AI-first ARR is large enough in absolute terms to offset erosion in the core seat base.

The bottom line

What was repriced this week was not software's revenue. Revenue beat at both companies that fell, and one of them raised guidance while doing it. What was repriced was its quality — the assumption that a dollar of software sales still arrives with roughly eighty cents of gross profit attached, and that the seat remains the unit in which software is counted. Both held for two decades and are being tested at once, in a sector trailing its own parent index by more than twenty percentage points.

The evidence is genuinely mixed, and this edition does not pretend otherwise. Contracted backlogs are lengthening, AI revenue is compounding at rates that are hard to dismiss, and the one company priced on consumption has outperformed — all of which supports a sentiment explanation. Against that, customer additions are missing plan at the small-business end, retention is being held rather than grown, and cash margin slipped at the strongest operator in the group. The reasonable inference is that the market is pricing an accounting lag: it has formed a view on terminal gross margin that the income statements are not yet built to confirm or refute. The next test is not a share price but a disclosure — the first software company to report AI delivery cost separately from the rest of cost of goods sold will tell everyone which reading was right.

Editorial note. This is educational commentary prepared for internal use. It is not investment advice, not a recommendation, and not an offer or solicitation to deal in any security. Companies are named only to illustrate the mechanics under discussion and their inclusion implies no view on their merit as investments. All external figures carry the date on which they were reported and are not live market quotes; share prices move and any figure here may be stale by the time it is read. Ordinarily this publication separates internal Wiki views — which are the opinions of named research providers, labelled as views rather than forecasts — from externally verified fact; **in this edition no internal material appears at all, because the internal research system could not be reached**, and every claim below the masthead therefore rests on external reporting alone. Where the evidence conflicts, the conflict is stated and left unresolved rather than argued away.

Sources and update notes

(a) Internal sources used: none. This edition draws on no Heyokha Wiki material. The Heyokha Wiki research server (*mcp__Heyokha_Wiki__**) was not present in this scheduled run: repeated tool-discovery queries returned no matching tools, so *list_sources*, *list_pages*, *get_page*, *get_relations* and *search_wiki* could not be called. In consequence, no theme universe was enumerated, no entity-recency scoring was performed, no thesis page was read, no *last_reviewed* date was obtained, and no research provider issue — 13D Research, White Box, Greed & Fear, Solid Ground, Marc Faber, HS Dent, Gary Shilling or any other — was consulted or relied upon. No statement in this edition should be attributed to any of them.

(b) Limitation on the internal view. The standing limitation this section normally records is provider concentration on a given Wiki page — the risk that a thesis rests disproportionately on one or two houses with a known standing bias. That limitation cannot be assessed here, and has been replaced by a more severe one: the internal view is entirely absent. The practical effect is that this edition has lost the leg that ordinarily supplies the contrarian frame and the long-horizon argument, and retains only the leg that supplies dated fact. Readers should treat the reasoning as this publication's own construction from public disclosure, with no house research behind it, and should be aware that a bear case assembled from a company's own results is systematically weaker than one built by an analyst with a thesis, because it can only see the tensions that management has chosen to disclose.

(c) External sources. **1.** Datadog Q2 CY2026, reported 6 August 2026 — revenue \$1.12bn, +35.6 per cent, 3.9 per cent above consensus; billings \$1.18bn, +38.1 per cent; adjusted EPS \$0.65 against \$0.58; adjusted operating income \$257m; free cash flow margin 24.9 per cent against 28.7 per cent the prior quarter; customers above \$100,000 ARR 4,720, +170 sequentially; full-year guidance raised to a \$4.46bn midpoint from \$4.32bn; third-quarter guidance \$1.135bn–\$1.145bn; shares –17.3 per cent to \$234.23 (StockStory, 6 August 2026); prior all-time high above \$292 and the "buy the rumour, sell the fact" reading (TradingKey, 6 August 2026). **2.** HubSpot Q2 CY2026, reported 5 August 2026 — revenue \$911.7m, +19.8 per cent, 1.5 per cent above consensus; non-GAAP EPS \$3.26 against \$3.02; adjusted operating income \$185.3m; operating margin 4.8 per cent against –3.2 per cent; customers 306,446 from 299,458; full-year guidance \$3.68bn midpoint from \$3.70bn; third-quarter guidance \$924.5m, 1.8 per cent below consensus; shares –20.2 per cent to \$200.00 (StockStory via Yahoo Finance, 5 August 2026). **3.** HubSpot Q2 2026 earnings call, 5 August 2026 — net additions 7,000 against 9,000–10,000 expected, revised to 5,000–6,000 per quarter; net revenue retention 102 per cent, down one point; Data Agent 16,000 customers, +80 per cent sequentially; Prospecting Agent 17,000, +28 per cent; Customer Agent above 10,000 at a 72 per cent resolution rate; more than 55 per cent of Pro Plus customers using agents or Breeze; monthly agentic actions more than tripled year to date; quotations from Yamini Rangan and Kate Bueker (BigGo Finance transcript summary). **4.** Salesforce Q1 FY27, 27 May 2026 — revenue \$11.1bn, +13 per cent; subscription and support \$10.6bn, +14 per cent; operating margin 21.1 per cent GAAP and 34.8 per cent non-GAAP; current RPO \$33.6bn, +14 per cent; Agentforce ARR \$1.2bn, +205 per cent, with Data 360 near \$3.4bn; FY27 guidance raised to \$45.9bn–\$46.2bn (Salesforce investor relations). **5.** Salesforce Q4 FY26, 25 February 2026 — FY26 revenue \$41.5bn, +10 per cent; total RPO \$72.4bn, +14 per cent. **6.** ServiceNow Q2 2026, 22 July 2026 — subscription revenue \$3,877m, +24.5 per cent; total revenue \$3,987m, +24 per cent; current RPO \$13.20bn, +21 per cent; total RPO \$29.0bn, +21 per cent; non-GAAP operating margin 29.5 per cent; 658 customers above \$5m ACV; ServiceNow AI past

\$1bn of annual contract value; full-year subscription guidance raised to \$15,760m–\$15,780m (ServiceNow newsroom); the 38 per cent year-to-date decline going into that print from 24/7 Wall St., 22 July 2026. **7.** Year-to-date sector performance at 6 July 2026 — IGV –10.5 per cent, S&P 500 +10.8 per cent, XLK +26 per cent, ServiceNow –27 per cent, Salesforce –35 per cent, Snowflake +21 per cent (Yahoo Finance). **8.** Adobe — shares –28 per cent year to date at \$241 on 27 March 2026; Q1 FY26 revenue \$6.4bn, +12 per cent; total ARR \$26.1bn; AI-first ending ARR more than tripled year on year (TIKR, 27 March 2026). **9.** US July 2026 employment report, due 7 August 2026 — consensus 120,000 payrolls (110,000 private) against June's 57,000 (49,000 private); unemployment expected 4.3 per cent from 4.2 per cent; average hourly earnings +0.3 per cent monthly and +3.5 per cent annual (Continuum Economics preview). **10.** Challenger job cuts — 33,429 announced US cuts in July 2026, down 27 per cent from June's 45,849 and 46 per cent below July 2025's 62,075, a two-year low; 6 August session movers Paycom +15 per cent, Unity +13.3 per cent, Fiserv –12 per cent (TheStreet, 6 August 2026). **Discrepancy noted:** TheStreet's 6 August premarket tally put HubSpot's fall at about 24 per cent against StockStory's 20.2 per cent close on 5 August; the smaller closing-basis figure is used throughout and the difference is flagged rather than reconciled.

(d) Editorial choices in this automated run. Three systems required by the standing brief were unavailable. *First, the archive.* The cooldown check could not be performed: the *HB Wiki Learning* folder lives on the user's desktop and is reachable only through the remote-devices bridge, which is never connected for scheduled runs; tool discovery confirmed no *mcp__remote-devices__* * tools were present, and per the brief this was not retried beyond twice. No filenames were parsed, so the 30-day topic history is unverified. The cooldown set used was only what the brief supplies directly — **AI Capex (4 August 2026)** and **Gold Miners (5 August 2026)** — both excluded. The edition published on 6 August 2026, if one exists, is unknown to this run, and today's topic may duplicate it. *Second, the Wiki.* With the research server unreachable, the prescribed hot-first scoring — entity recency weighted three, two and one point across three, seven and twenty-one days, plus three points for a title appearance — could not be run, and the universe of roughly seventy-two active themes could not be enumerated. *Third, the topic choice.* Lacking both, the topic was selected on the brief's underlying principle rather than its mechanism: the hottest, most verifiable, most date-stamped story available. Software unit economics qualified — two large-capitalisation companies falling more than seventeen per cent on beats within twenty-four hours of each other, on 5 and 6 August 2026, against a sector already twenty-one percentage points behind its parent index, with a live catalyst in the US employment report due today, 7 August 2026, which bears directly on seat-priced software because a seat licence is a claim on employed headcount. The topic name "Software Unit Economics" is this run's own coinage and is **not** known to match a Heyokha Wiki theme page title; tomorrow's cooldown parse will read it as written and it should be corrected by hand if the Wiki uses a different label. Two further degradations: several primary sources refused automated retrieval — CNBC, Seeking Alpha and Salesforce Ben returned 403 or robots.txt errors — so a few figures come from secondary aggregators rather than the filings themselves; and index closing levels for 6 August 2026 could not be verified and were omitted rather than estimated. Finally, the file could not be written to the archive folder for the same bridge reason and was delivered directly to the user; it must be saved into *HB Wiki Learning* by hand for tomorrow's cooldown check to see it.

Prepared 7 August 2026 · Heyokha Brothers Market Field Guide · Commentary, not investment advice.